

Program Summary

JMAC FHA 100% CLTV Financing or 101.5% CLTV Financing to help increase homeownership opportunities to low-to-moderate income individuals and families. The FHA first lien at 96.5% and a second lien up to 5% to cover down payment and/or closing costs. There is no income restrictions cap and borrowers do not need to be first-time home buyers to qualify. Both loans will need to be closed concurrently with JMAC. All loans must meet JMAC and FHA Guidelines. Refer to FHA Single Family Housing Policy Handbook 4000.1 for FHA Requirements.

Transaction Type	DPA	LTV	CLTV	Underwriting Method	Minimum Fico	Max DTI
Purchase	3.5% Fully Amortized Option	96.5%	100%	AUS Approved	600	Per AUS
				Manual	660	45%
	3.5% Forgivable After 3 Years	96.5%	100%	AUS Approved	600	Per AUS
				Manual	660	45%
	5% Fully Amortized Option	96.5%	101.5%	AUS Approved	600	Per AUS
				Manual	660	45%

Product Term: 30 and 25 Fixed Terms
Product Names:

- FHA 3.5% DPA 100% CLTV Combo
- FHA 3.5% DPA 100% CLTV Combo with Forgivable 2nd Lien after 3 years
- FHA 3.5% DPA 100% CLTV Combo 2-1 Temp Buydown
- FHA 3.5% DPA 100% CLTV Combo 2-1 Temp Buydown with Forgivable 2nd Lien after 3 years
- FHA 3.5% DPA 100% CLTV Combo High Balance
- FHA 3.5% DPA 100% CLTV Combo High Balance with Forgivable 2nd Lien after 3 years
- FHA 3.5% DPA 100% CLTV Combo High Balance 2-1 Temp Buydown
- FHA 3.5% DPA 100% CLTV Combo High Balance 2-1 Temp Buydown with Forgivable 2nd Lien after 3 years
- FHA 5.0% DPA 101.5% CLTV Combo
- FHA 5.0% DPA 101.5% CLTV Combo High Balance
- FHA 5.0% DPA 101.5% CLTV Combo High Balance 2-1 Temp Buydown
- FHA 5.0% DPA 101.5% CLTV Combo 2-1 Temp Buydown
- FHA DPA 3.5% Second Lien Fully Amortized
- FHA DPA 5.0% Second Lien Fully Amortized
- FHA DPA 3.5% Second Lien Forgivable After 3 Years

Program Matrix:

- Follow [JMAC FHA Standard and High Balance Product Matrix and Guidelines](#) for the 1st lien.

Program Overlay:

- **State Restrictions: Not eligible for state of WA**
- Minimum fico score of 600 per borrower
- Each borrower must have a minimum of one credit score
- Borrower does not need to be first time home buyer
- There is no income restriction cap
- Manual underwrites allowed subject to:
 - Minimum fico score of 660
 - Max DTI 45%
- Homebuyer education required. At least one borrower is required to take the course.
 - Fannie Mae's HomeView course is free. <https://www.fanniemae.com/education>
- Non-Occupant co-borrowers allowed and must be on title
- Borrower is required to occupy the property within 60 days of closing
- Borrowers may have ownership in other property at time of closing
- Eligible Properties
 - Single Family Residence: 1 Unit
 - 2-Units
 - Manufactured Homes: Double & Triple Wide
 - PUDS
 - Townhomes
 - Condos: Agency Approved, No litigation
 - Spot Condo approval is eligible subject to the condo meeting the spot condo requirements and the complex is not in litigation

Closing Costs Allowed:

- Any normal and customary fees are allowed
 - Fees: Appraisal, credit reporting, survey, title insurance, etc
- Must be charged in accordance with agency policies
- No lender fees can be charged on 2nd lien:
 - Exception: Title or Escrow Fees
 - Must "PASS" all Points and Fees tests

DPA 2 nd Lien, Three options	
5% Fully Amortized Option	• Interest rate = 1st TD note rate + 2% • Max CLTV is 101.5% • Fully amortizing loan for 120 months • Include payment in DTI calculation • 5% of the <u>Lower</u> of Sales Price or Appraised Value • 10-year Second Mortgage Loan Note • 10 year fully amortizing loan • Note rate is 2.0% greater than the rate on the 1st loan • Monthly payment is required
3.5% Fully Amortized Option	• Interest rate = 1st TD note rate + 2% • Max CLTV is 100% • Fully amortizing loan for 120 months • Include payment in DTI calculation • Up to 3.5% of the <u>Lower</u> of Sales Price or Appraised Value • 10-year Second Mortgage Loan Note • 10 year fully amortizing loan • Note rate is 2.0% greater than the rate on the 1st loan • Monthly payment is required
3.5% Forgivable After 3 Years	• Interest rate = 0% • Max CLTV is 100% • Up to 3.5% of the <u>Lower</u> of Sales Price or Appraised Value • A deferred 30 Year Term second mortgage loan (No Interest) • No-amortizing loan with no monthly payments • No payment included in DTI • Second Lien is due and payable upon payoff of the First mortgage, unless the forgivable parameters have been satisfied
Applies to all Three Options	• 2/1 Buy Down permitted on the first lien • Cash to the borrower at closing is not permitted • Second loan amount must be rounded up to the nearest dollar • No subordination allowed